Final Exam

1. Match the categories to the correct approach for calculating GDP. /0.4

___ 1. Profits to the entrepreneur

___ 2. Wages and salaries for labor

___ 3. Rent for land

___ 4. Investment

___ 5. Interest and dividends for capital

___ 6. Government

___ 7. Consumption

___ 8. Exports minus Imports

A. Expenditure Approach

B. Income Approach

2. Determine whether each example is included in the calculation of GDP or **not** included. /0.4

___ 1. The construction of a company's new factory

___ 2. The purchase of stocks and bonds

___ 3. Flour bought to make bread at bakery

___ 4. The construction of your city's new school

___ 5. A used shirt purchased at a thrift store

___ 6. Your purchase of your morning coffee

___ 7. Social Security benefits

___ 8. Fighter jets sold to Canada

A. Included on GDP

B. Not Included in GDP

3. Match each description with the correct employment status. /0.4

___ 1. You are a full-time student, not working

___ 2. You were laid off from your job but you are actively interviewing for new jobs.

___ 3. You are retired

___ 4. You are a stay-at-home parent

___ 5. You are 14 years old

___ 6. You are Active Military

___ 7. You have been laid off during a recession and have been looking for work for so long you finally have given up actively seeking work

___ 8. You just graduated from college and are actively searching for your first professional job in your chosen field.

___ 9. You are currently working full-time.

___ 10. You are working a 2 part-time jobs.

A. Employed

B. Unemployed

C. Not in the Labor Force

4. Match the descriptions with the type of unemployment. /0.4

___ 1. An assembly line worker becomes unemployed when a new machine does her job faster with fewer errors.

___ 2. An cartoon animator is laid off as the company moves to completely digital based animation software.

___ 3. Slumping sales lead to a cashier being laid off.

___ 4. An person refuses a job because the salary is too low and keeps looking for a better paying job.

___ 5. An HR Manager is laid off because of a recession.

___ 6. A nurse leaves her job in Chicago to look for a new job in Charlotte.

A. Frictional

B. Cyclical

C. Structural

5. For the following list of items, indicate if they are in M1, exclusive to M2, or neither: /0.4

___ 1. $1200 in your checking account

___ 2. $2500 you have in Bitcoin

___ 3. $2000 you have in a money market account

___ 4. $1 in quarters in your pocket

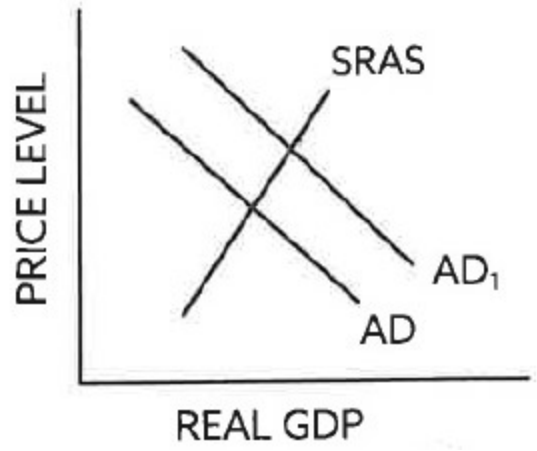
___ 5. Your $5,000 line of credit on your Bank of America card

A. M1, and therefore M2 as well

B. Exclusive to M2

C. Neither

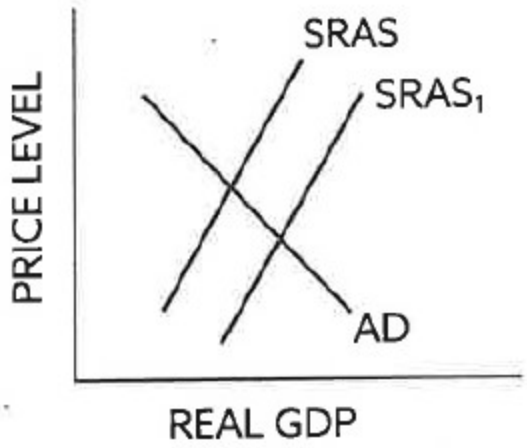
6. Refer to the graph below. /0.4



What happens to real GDP and the price level when Aggregate Demand (AD) increases?

- ◯ The price level decreases, and real GDP increases
- ◯ The price level decreases, and real GDP remains unchanged
- ◯ The price level increases, and real GDP increases
- ◯ The price level increases, and real GDP decreases

7. Refer to the graph below. /0.4



What happens to real GDP and the price level when Short Run Aggregate Supply (SRAS) increases?

- ◯ The price level decreases, and real GDP decreases
- ◯ The price level increases, and real GDP increases
- ◯ The price level decreases, and real GDP remains unchanged
- ◯ The price level decreases, and real GDP increases

8. Breaking News: Consumer and Business confidence decreases significantly. /0.4

Which change to the AD-AS model is most likely to occur as a result of this news?

Note: All lines with a subscript of 1 represent the change related to the Breaking News item.

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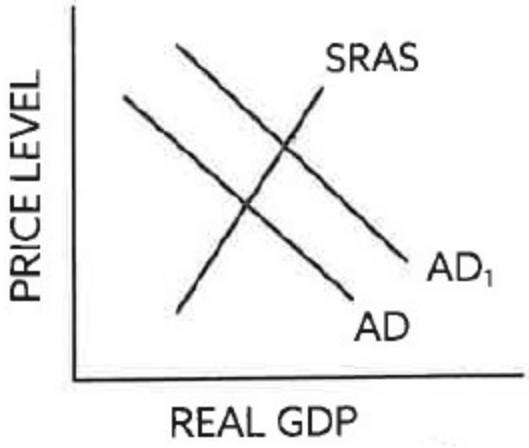

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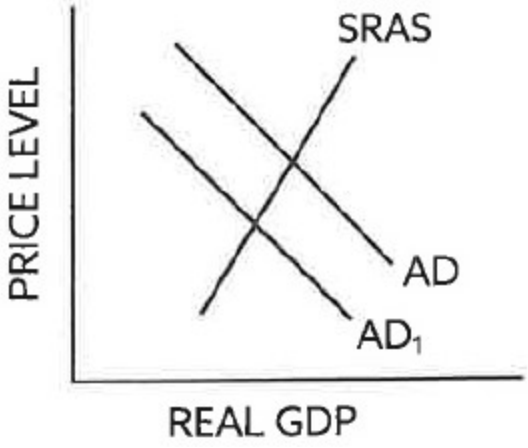

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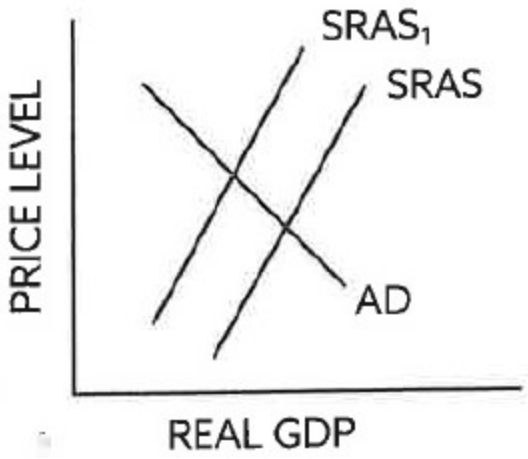

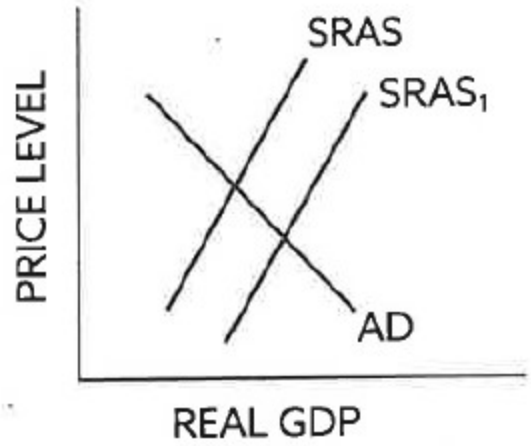
SRAS
SRAS1
PRICE LEVEL
AD
REAL GDP

9. Breaking News: AI technology brings new efficiencies and increase labor productivity to businesses. /0.4

Which change to the AD-AS model is most likely to occur as a result of this news?

Note: All lines with a subscript of 1 represent the change related to the Breaking News item.

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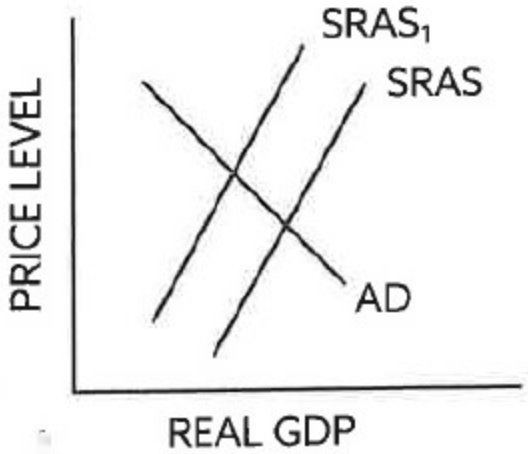

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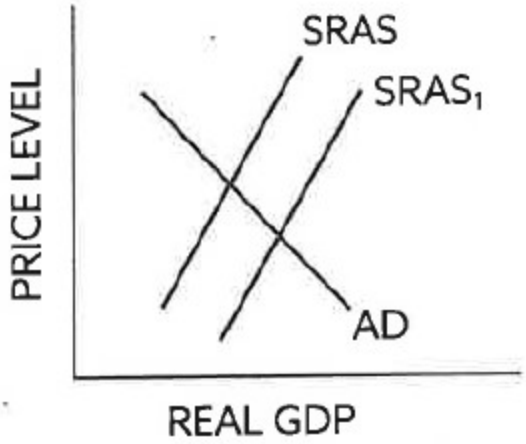

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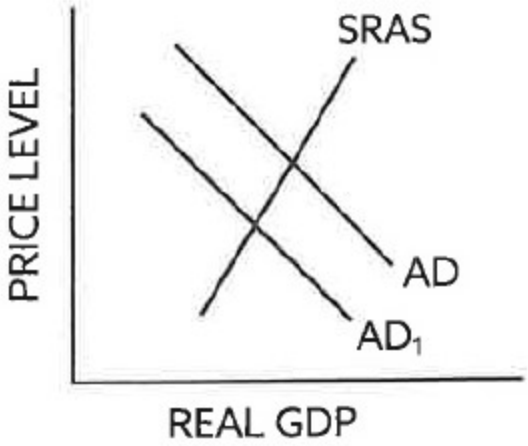
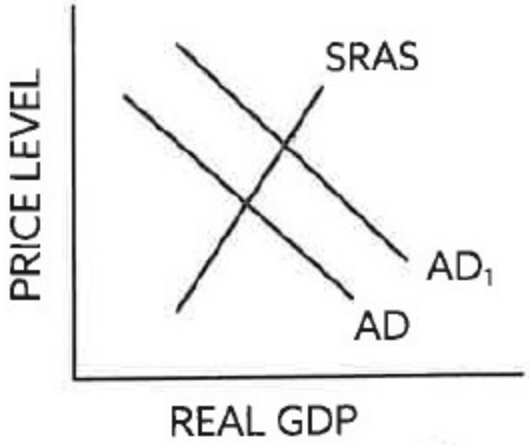
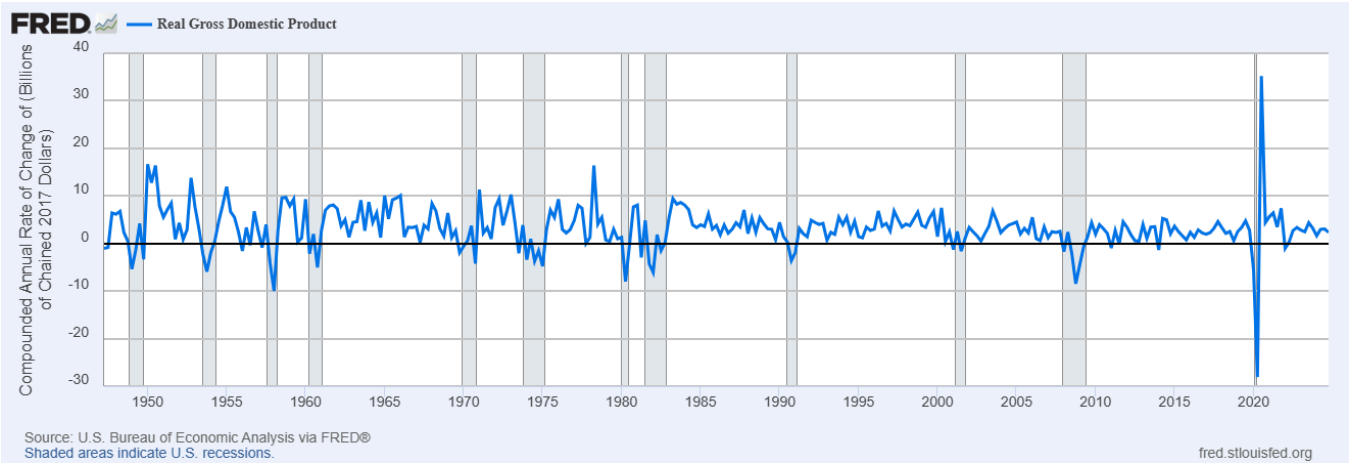




10. 

/0.4

Based on the graph above, what is the pattern of the real GDP growth rate during recessions?

- ◯ No pattern
- ◯ real GDP growth rate increases
- ◯ real GDP growth rate decreases

11. Real GDP in Q3 2024 was $23,400 billions of dollars. /0.4

Real GDP in Q3 2023 was $22,781 billions of dollars.

Calculate the Real GDP year over year percentage growth rate.

- ◯ [(22,781 - 23,400) / 23,400] * 100
- ◯ (23,400/22,781) * 100
- ◯ [(23,400 - 22,781) / 22,781] * 100
- ◯ (22,781/23,400) * 100
- ◯ (23,400 - 22,781)

12. If the number of employed persons in a country equals 161 million, the number of unemployed persons equals 8 million, and the number of persons over age 16 in the population equals 260 million, the unemployment rate equals: /0.4

- ◯ [8 / (260)] * 100
- ◯ [161 / 8] * 100
- ◯ [8 / (161)] * 100
- ◯ [8 / (8 + 161)] * 100

13. The rate of return on your savings and investments is 5% annually. /0.4

The annual rate of inflation is 8%.

What is your real rate of return on your savings and investments?

- ◯ 5%
- ◯ 8% - 5% = 3%
- ◯ 5% - 8% = -3%
- ◯ 5% / 8% = 0.625%

14. The Consumer Price Index (CPI) changes from 271 in June 2021, and increases to 295 in June 2022. /0.4

What is the annual inflation rate?

- ◯ [(271 - 295) / 295] x 100
- ◯ [(295 - 271) / 271] x 100
- ◯ 295 - 271
- ◯ [271/ 295] x 100

15. The unemployment rate is 4% and the inflation rate is 9%. /0.4

1. The federal government raises personal income taxes and cuts its spending.
2. With ample reserves, the Fed raises the IORB it offers to banks.

Select both the primary macroeconomic problem based on the data above, and the correct impacts on real GDP and the price level.

Select all correct answers

- ☐ real GDP will increase
- ☐ real GDP will decrease.
- ☐ the impact on real GDP is indeterminate
- ☐ the price level will increase
- ☐ the price level will decrease
- ☐ the impact on the price level is indeterminate
- ☐ Recession is the **primary** issue.
- ☐ Inflation if the **primary** issue.

16. "Aggregate Demand decreases." /0.4

Determine how real GDP, the price level (inflation), and unemployment will be affected by the change described above.

Select all correct answers

- ☐ Increase in real GDP
- ☐ Decrease in real GDP
- ☐ No Change in real GDP
- ☐ Increase in the price level
- ☐ Decrease in the price level
- ☐ No change in the price level
- ☐ Increase in unemployment
- ☐ Decrease in unemployment
- ☐ No change in unemployment

17. "Short Run Aggregate Supply decreases." /0.4

Determine how real GDP, the price level (inflation), and unemployment will be affected by the change described above.

Select all correct answers

- ☐ Increase in real GDP
- ☐ Decrease in real GDP
- ☐ No Change in real GDP
- ☐ Increase in the price level
- ☐ Decrease in the price level
- ☐ No change in the price level
- ☐ Increase in unemployment
- ☐ Decrease in unemployment
- ☐ No change in unemployment

18. **Headline:** Significant new legislation is passed into law increasing government spending without increasing taxes. /0.4

What will be the impacts on the economy?

Select all correct answers

- ☐ Real GDP will increase
- ☐ Real GDP will decrease
- ☐ The Price Level will increase
- ☐ The Price Level will decrease
- ☐ It is not possible to determine the impact on either Real GDP or the Price Level

19. **Headline:** The likelihood of a recession in the near future increases. Business and residential investment decrease as a result. /0.4

What will be the impacts on the US economy?

Select all correct answers

- ☐ Real GDP will increase
- ☐ Real GDP will decrease
- ☐ The Price Level will increase
- ☐ The Price Level will decrease
- ☐ It is not possible to determine the impact on either Real GDP or the Price Level

20. The Federal Reserve Bank implements contractionary monetary policy to reduce inflation. /0.4

Put the actions it takes and the impacts to the economy in the correct order.

___ 1. Federal Open Market Committee increases the target range of the Federal Funds Rate.

___ 2. The Federal Reserve increases the Interest on Reserves Rate.

___ 3. Aggregate demand will reduce leading to a reduction in the overall price level; in other words lower inflation.

___ 4. Market interest rates that consumers and businesses face will increase.

___ 5. Higher market interest rates will tend to reduce consumer and investment spending.

___ 6. Through the process of arbitrage, Banks will demand to borrow more funds in the federal funds market; driving up the federal funds rate.

21. Which of the following scenarios represents an activity that would be counted in the **Government (G)** component of U.S. Gross Domestic Product (GDP) according to the Expenditures Method? /0.4

- ◯ A resident of Texas sells a used car to a resident of Oklahoma.
- ◯ A foreign student studying in the U.S. purchases a U.S.-made laptop computer.
- ◯ A local restaurant owner uses retained earnings to purchase new high-efficiency ovens for the kitchen.
- ◯ The Department of Defense purchases a newly manufactured fighter jet from a domestic aerospace company.
- ◯ The state legislature issues an unemployment benefit check to a worker who lost their job due to a recession.

22. Which of the following activities are considered valid components of the Expenditures Method (C + I + G + (X – M)) used to calculate GDP? /0.4

Select all correct answers

- ☐ The creation of new business inventories that have not yet been sold to consumers.
- ☐ A corporation's purchase of stocks and bonds in the domestic financial market
- ☐ A municipal government funding the construction of a new school building
- ☐ The sale of intermediate goods, such as steel, used in the production of a new piece of farming equipment
- ☐ A household's expenditure on legal and financial services provided by domestic firms

23. Which of the following scenarios best illustrates the essential ***institutional*** condition necessary for physical and human capital investments to translate into sustained modern economic growth? /0.4

- ◯ A nation achieves economies of scale in manufacturing by consolidating small producers into large state-run enterprises that guarantee job security.
- ◯ A society where the average level of work experience among the population increases dramatically, thereby maximizing the existing level of human capital.
- ◯ A government invests heavily in advanced university research to drive invention, assuming that innovation will naturally follow these scientific advances.
- ◯ A legal framework where courts guarantee contractual rights, thereby assuring individuals and firms that the expected future profits from current investments in training and equipment are protected.
- ◯ A system where the central government is structured to ensure that all citizens have free access to a basic level of food and shelter, fulfilling the core subsistence requirements.

24. A recently graduated engineer works part-time at a coffee shop while job hunting. A construction worker, laid off six months ago, has stopped applying for jobs due to discouragement. /0.4

How are these individuals classified by the U.S. Bureau of Labor Statistics?

- ◯ Both are classified as officially unemployed.
- ◯ The engineer is employed; the construction worker is counted as out of the labor force.
- ◯ The engineer is employed; the construction worker is a discouraged worker, counted as unemployed.
- ◯ The engineer is out of the labor force; the construction worker is unemployed.
- ◯ The engineer is underemployed; the construction worker is unemployed.

25. If the Consumer Price Index (CPI) were calculated using a perfectly **fixed basket of goods** over a long period, the resulting inflation rate would most likely: /0.4

- ◯ Accurately reflect the true cost of living due to the simplicity of the fixed basket method.
- ◯ Tend toward zero, as the statistical impact of substitution bias balances the quality/new goods bias.
- ◯ Overstate the true cost of living because it ignores consumers substituting toward cheaper goods and improvements in product quality.
- ◯ Understate inflation by failing to capture the initial high prices of new goods upon introduction.
- ◯ Become disconnected from the general rise in prices, mirroring only the changing costs of industrial inputs.

26. High and variable inflation inhibits the efficiency of a market economy primarily because it leads to **price confusion**. /0.4

Which statement below best illustrates the problem of price confusion?

- ◯ High unanticipated inflation transfers wealth from lenders to borrowers as loans are repaid with cheaper dollars.
- ◯ A factory owner cannot determine if a higher price for raw inputs is due to a sudden increase in demand or a general rise in the price level.
- ◯ Firms incur real resources costs when they constantly have to update and reprint prices during inflation.
- ◯ An investor mistakes a 5% nominal interest rate for a 5% real return, failing to adjust for a 7% inflation rate
- ◯ People spend more time moving money in and out of bank or financial accounts to avoid holding cash that's losing value."

27. A bank customer moves $5,000 from a small-denomination time deposit (Certificate of Deposit) that just matured into their regular checking account. /0.4

Assuming all else remains constant, which of the following statements accurately describes the effect of this transaction on the measured money supply aggregates (M1 and M2)?

- ○ M1 remains unchanged, but M2 decreases by $5,000 because time deposits are highly illiquid.
- ○ M1 increases by $5,000, and M2 remains unchanged, because M2 is defined as M1 plus less liquid components.
- ○ M1 and M2 both increase by $5,000 because the funds moved from a non-money asset to a liquid asset.
- ○ M1 increases by $5,000, but M2 increases by a fraction of $5,000 due to the bank's reserve requirement.
- ○ M1 increases by $5,000, and M2 decreases by $5,000, resulting in no net change in total liquid assets.

28. In an environment where commercial banks hold ample reserves, the central bank decides to implement an expansionary monetary policy to combat a persistent recessionary gap. /0.4

Which combination of modern policy tools best achieves this goal?

- ○ Lowering the target Federal Funds Rate (FFR) range by decreasing the IORB and decreasing the rate on Overnight Reverse Repurchase Agreements (ON RRP).
- ○ Selling short-term Treasury bills in open market operations, thereby extinguishing bank reserves and raising the federal funds rate.
- ○ Conducting a sequence of Reverse Repurchase Agreements to drain liquidity from non-bank financial institutions.
- ○ Increasing the Interest Rate on Reserve Balances (IORB) and raising the Discount Rate to encourage banks to hold more reserves.
- ○ Decreasing the Discount Rate below the IORB, incentivizing banks to borrow from the central bank and deposit those funds in the federal funds market for arbitrage profit.

29. A critical limitation of using discretionary expansionary fiscal policy to counteract a recession caused by an aggregate demand shock is the possibility that: /0.4

- ○ The three time lags—recognition, legislative, and implementation—are so lengthy that the expansionary policy takes effect only after the economy has already returned to potential GDP, potentially causing inflationary pressure.
- ○ Automatic stabilizers, such as unemployment benefits, inadvertently shift aggregate supply inward, leading to cost-push inflation.
- ○ Tax cuts aimed at increasing consumption are fully negated because consumers expect future tax cuts and therefore increase current saving.
- ○ Government spending increases aggregate demand, but this action is fully offset by contractionary monetary policy instituted by the central bank (monetary offset), leaving output unchanged.
- ○ The required spending is so massive that it results in 100% crowding out, where every dollar of government borrowing entirely eliminates a dollar of private investment.

30. Suppose an economy is operating significantly below its potential GDP due to a sharp fall in aggregate demand. /0.4

Which policy response mechanism is generally considered the most prompt and reliable way to provide stimulus, and what is its primary characteristic?

- ○ Automatic stabilizers (e.g., unemployment insurance), which immediately increase government expenditures and reduce tax collection as economic activity slows, thereby mitigating the severity of the downturn.
- ○ Increased government spending on infrastructure, which is known for its short legislative lag and rapid implementation time, ensuring timely stimulus.
- ○ Expansionary monetary policy, which shifts the short-run aggregate supply curve outward and avoids any risk of crowding out.
- ○ Discretionary tax cuts, which directly increase household savings and therefore boost long-run aggregate supply.
- ○ Contractionary fiscal policy, which manages expectations of future inflation and ensures that rising interest rates do not discourage foreign investment.